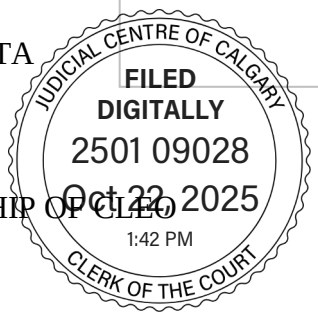
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COURT FILE NUMBER:	2501-09028
COURT	COURT OF KING'S BENCH OF ALBERTA
JUDICIAL CENTRE	CALGARY
	IN THE MATTER OF THE RECEIVERSHIP OF CLEO ENERGY CORP.
APPLICANT	UCAPITAL – ULOAN SOLUTIONS INC.
RESPONDENT	CLEO ENERGY CORP.
DOCUMENT	**Bench Brief of Alberta Energy and Minerals (re Proposed Reverse Vesting Order and Share Purchase Transaction)**
ADDRESS FOR SERVICE AND CONTRACT INFORMATION OF PARTY FILING THIS DOCUMENT	**Alberta Justice, Legal Services Division** 1710, 639 5th Avenue SW Calgary, Alberta T2P 0M9 **Attention: Melissa N. Burkett** Telephone: (403) 297-2001 Facsimile: (403) 662-3824 Email: melissa.burkett@gov.ab.ca

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PART I: Facts

1. Overview of the Application

[1] The proposed Reverse Vesting Order (the "**CLEO RVO**") aims to vest pre-receivership Crown Liabilities (defined below) in "ResidualCo", a shell corporation, while Mineral Leases (defined below) remain in the name of the debtor, CLEO Energy Ltd. ("**CLEO Energy**"). As structured, the CLEO RVO allows CLEO Energy to retain the benefits of the Mineral Leases while eschewing previously accumulated royalties owed to the public.

[2] Reverse vesting orders are intended to be used rarely and extraordinarily. There is nothing rare or extraordinary about the CLEO receivership. The proposed CLEO RVO is a blatant attempt to circumvent the Crown in right of Alberta's (the "**Alberta Crown**") ability to recover its cure costs and manage public resources.

[3] The Minister of Energy and Minerals (through the Alberta Department of Energy and Minerals ("**Alberta Energy**")) opposes any relief sought in the CLEO RVO, or otherwise, that seeks to saddle the public with CLEO Energy's liabilities while allowing CLEO Energy to retain Mineral Leases.

2. Statement of Facts

[4] The facts set out below are relevant for the purposes of this Application.

(a) CLEO Energy's Crown Liabilities

[5] The Alberta Crown owns 81% of the province's mineral rights.[1] Alberta Energy administers, manages, and regulates these resources on behalf of the citizens of the Province.[2]

[6] The Alberta Crown offers its petroleum and natural gas ("**Crown PNG**") mineral rights for bid by industry. Successful bidders obtain a Crown PNG Lease (a "**Mineral Lease**"), which grants the lessee the right to drill for, and recover, Crown PNG within the lease area. [3]

[1] Affidavit of Tracy Wadson, sworn October 22, 2025 (the "**Wadson Affidavit**"), para. 3.
[2] Wadson Affidavit, para. 3.
[3] Wadson Affidavit, paras. 5-6.

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[7] The Mineral Lease does not grant mineral ownership to the lessee; ownership remains with the Alberta Crown. The PNG minerals are publicly owned and the lessee must pay for each unit produced, whether oil or natural gas. This payment is a "royalty". A royalty is not a tax, rather it is a payment to the public for the use of its minerals.[4]

[8] Mineral Leases for Crown PNG minerals identify two lessee obligations to the Alberta Crown ("**Crown Liabilities**"): (1) an ongoing obligation to pay royalties to the Alberta Crown for all minerals produced; and (2) an ongoing obligation to pay for the right to win, work, and recover minerals on Alberta Crown land.[5]

[9] Currently, CLEO Energy holds Mineral Leases and has Crown Liabilities totalling $240,000.00, of which $150,000.00 consists of pre-receivership Crown Liabilities. While the Receiver in this matter appears to have confirmed that the $90,000.00 in post-filing Crown Liabilities will be paid by either it or the Purchaser, there is no such guarantee for the pre-filing Crown Liabilities.[6]

(b) The CLEO RVO

[10] Under the CLEO RVO and the proposed Share Purchase Agreement ("**CLEO SPA**"), the pre-receivership Crown Liabilities are proposed to be vested to "ResidualCo.", a shell corporation, while the operating entity, CLEO Energy, retains the assets (in this case, the Mineral Leases) and continues operations. The purchaser would acquire CLEO Energy's shares, not its assets:[7]

PART II: Issues

[11] The following issue arises in this Application:

Issue #1: Should the Court approve the Share Purchase transaction and grant the CLEO RVO?

[4] Wadson Affidavit, paras. 6-7.

[5] Wadson Affidavit, para. 8.

[6] Wadson Affidavit, paras. 24-25.

[7] Sections 10(a)-(c) of the CLEO RVO; Sections 2.1, 3.1, and Schedule "B" of Share Purchase Agreement, Appendix "A" to the First Report of the Receiver.

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PART III: Argument

1. *Harte Gold* factors

[12] As Justice Penny noted in *Harte Gold*, the use of RVO structures "should continue to be regarded as an unusual or extraordinary measure; not an approach appropriate in any case merely because it may be more convenient or beneficial for the purchaser".[8]

[13] In the decision, the Court articulated the factors to be considered in respect of a proposed reverse vesting transaction:

- Why is the reverse vesting order necessary in this case?
- Does the reverse vesting structure produce an economic result at least as favourable as any other viable alternative?
- Is any stakeholder worse off under the reverse vesting structure than they would have been under any other viable alternative?
- Does the consideration being paid for the debtor's business reflect the importance and value of assets being preserved under the reverse vesting structure?[9]

(a) Alberta Energy is worse off under the CLEO RVO

[14] Alberta Energy is detrimentally impacted under the proposed CLEO RVO.

[15] Section 18(2) of the *Mines and Minerals Act* provides the Minister with discretion to refuse the transfer of a Crown mineral agreement.[10] This provision grants the Minister broad discretion to assess the suitability of any proposed transferee of a Crown agreement. The discretion is rooted in public policy considerations, including the financial and operational capacity of the transferee to fulfill obligations under the agreement, such as royalty payments.

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[8] *Harte Gold Corp. (Re)*, 2022 ONSC 653 ("***Hart Gold***"), para. 38.

[9] *Harte Gold*, para. 38.

[10] *Mines and Minerals Act*, RSA 2000, c. M-17 ("***MMA***"), s. 18(2); *Crown Minerals Registration Regulation*, AR 264/1997, s. 5(1)(g).

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[16] In this case, under a traditional asset purchase arrangement, Alberta Energy would have the ability to require the payment of cure costs (i.e., the Crown Liabilities – the monetary defaults under the Mineral Leases) before agreeing to transfer the Mineral Leases to the Purchaser (the "**Transfer Requirement**").[11]

[17] The CLEO RVO circumvents that discretion as the Mineral Leases would remain in CLEO's name. In other words, there would be no transfer of assets.

[18] The Transfer Requirement is public knowledge and is routinely enforced by Alberta Energy in insolvency asset transactions.[12] Both industry and receivers/trustees are aware of the Transfer Requirement.[13]

[19] The Alberta Crown has a vested interest in ensuring that mineral resources are developed responsibly and that royalty obligations are met.

[20] The Purchaser's refusal to address all cure costs raises serious questions regarding its intention, financial capacity, and operational capacity to fulfill its obligations under the Mineral Leases going forward because:

- No information has been provided about the entity that is proposed to purchase CLEO Energy's shares;[14] and

- The CLEO RVO is intentionally structured to allow the debtor to shed its Crown Liabilities, circumvent the Transfer Requirement, and still keep the Mineral Leases.

[21] These concerns are only heightened when considering that the information provided by the Receiver to date strongly suggests that ResidualCo. will have little ability to satisfy the Crown Liabilities, Transferring liabilities to a shell entity with no assets or operational capacity frustrates the Alberta Crown's ability to enforce compliance, collect royalties, or hold entities

[11] Wadson Affidavit, para. 16.
[12] Wadson Affidavit, paras. 19-23.
[13] Wadson Affidavit, paras. 17-18.
[14] Wadson Affidavit, para. 28.

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accountable. Similarly, Alberta Energy also loses its ability to properly manage the Mineral Leases on a go-forward basis.

PART IV: Conclusion and Relief Sought

[22] The Applicants have not established that a reverse vesting order is appropriate in the circumstances. Rather, this transaction appears to be advanced simply because it is "more convenient or beneficial for the purchaser".

[23] The Court should be wary of the proliferation of the use of reverse vesting orders to extinguish public debts without compensation. These types of transactions should be closely scrutinized to discourage the use of this type of structure to avoid paying royalties, dump the liability on a shell entity, while maintaining the ability to work public resources.[15]

[24] Those portions of the application of the CLEO RVO that deal with the pre-receivership Crown Liabilities, should be dismissed. In the alternative, if the Court does find the CLEO RVO and CLEO SPA to be appropriate, the Court should direct that all of the Crown Liabilities be cured.

All of which is respectfully submitted this 22nd day of October, 2025.

Alberta Justice, Legal Services Division



Melissa N. Burkett
Counsel for Alberta Energy and Minerals

[15] Wadson Affidavit, paras. 29-30.

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Appendix "A" - Relevant Excerpts of CLEO RVO and CLEO SPA

CLEO RVO:

VESTING OF ASSETS AND LIABILITIES

10. Subject to the terms of the SPA, upon delivery of the Receiver's certificate to the Purchaser substantially in the form set out in Schedule "A" hereto (the "**Receiver's Certificate**"), the following shall occur and be deemed to occur commencing at the time of delivery of the Receiver's Certificate (the "**Closing Time**") in the following sequence:

(a) all right, title and interest of the Company in and to the Excluded Assets, Excluded Liabilities and Excluded Contracts shall be transferred to and shall vest absolutely and exclusively, without recourse, in ResidualCo and all Losses and Encumbrances attached to the Excluded Assets, Excluded Liabilities and Excluded Contracts (other than the Retained Liabilities) shall continue to attach to the Excluded Assets, Excluded Liabilities and Excluded Contracts with the same nature and priority as they had immediately prior to their transfer.

(b) all Losses and Encumbrances in respect of the Company (including the "**Excluded Liabilities**" as defined in Schedule "B" to the SPA), other than the Retained Liabilities, shall be transferred to and assumed by and shall vest absolutely and exclusively without recourse in the name of ResidualCo and shall no longer be liabilities of the Company, and (i) such Losses and Encumbrances (including the Excluded Liabilities) shall continue to attach to the Excluded Assets and Excluded Contracts with the same nature and priority as they had immediately prior to the Closing Time, as if the Excluded Assets and Excluded Contracts had not been conveyed and had remained in the possession or control of the person having that possession or control immediately prior to the transfer; (ii) such Losses and Encumbrances equal to the fair market value of the Excluded Assets and Excluded Contracts shall be transferred to and assumed by ResidualCo in consideration for the transfer of the Excluded Assets and Excluded Contracts; and (iii) the remaining Losses and Encumbrances shall be transferred to and assumed by ResidualCo for no consideration as part of, and to facilitate, the implementation of the Transaction;

(c) all Excluded Liabilities shall be novated and become obligations of ResidualCo and not obligations of the Company, and the Company, the Purchaser and the Retained Assets and Retained Contracts shall be forever released from such Excluded Liabilities, which shall be irrevocably expunged and discharged as against the Company, the Purchaser, the Retained Assets, and the Retained Contracts;

CLEO SPA:

ARTICLE 2
PURCHASE OF PURCHASED SHARES

2.1 Purchase of the Purchased Shares

Subject to the provisions of this Agreement and the Reverse Vesting Order, on the Closing Date, the Purchaser shall subscribe for and purchase from the Receiver, and the Receiver shall issue to the Purchaser the Purchased Shares free and clear of all Encumbrances.

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ARTICLE 3
ADJUSTMENTS

3.1 Assumption of Obligations

The Purchaser confirms that it will assume the Retained Assets and Retained Liabilities, including without limitation the payment of any and all amounts, interest and penalties in respect thereof, including without limitation: (i) all property taxes, including any municipal property taxes; (ii) all mineral lease royalties and rentals; (iii) surface lease rentals; and (iv) any other obligation related to the Retained Assets and the Retained Liabilities or arising from ownership or assumption thereof which shall be adjusted for in accordance with this Article 3.

SCHEDULE "B"

EXCLUDED ASSETS, EXCLUDED LIABILITIES, EXCLUDED CONTRACTS, RETAINED ASSETS, RETAINED LIABILITIES AND RETAINED CONTRACTS

Excluded Liabilities

1. All debts, obligations, Liabilities, Claims, indebtedness, contracts, leases, agreements, undertakings, rights and entitlements of any kind or nature whatsoever (whether direct or indirect, known or unknown, absolute or contingent, accrued or unaccrued, liquidated or unliquidated, matured or unmatured or due or not yet due, in law or in equity and whether based in statute or otherwise) of or against the Company other than the Retained Liabilities or those in relation to or arising out of the Retained Contracts.

Retained Assets

1. All of the assets, property, and undertakings, of every kind or nature, owned by the Company on the date of this Agreement, including without limitation, the Retained Contracts, the Title and Operating Documents, Petroleum and Natural Gas Rights, the Tangibles, the Miscellaneous Interests, and Books and Records, other than the Excluded Assets and the Excluded Contracts. For greater certainty, revenues, proceeds, and other entitlements relating to the Retained Assets received by the Receiver or the Company after the Effective Time which, pursuant to Section 3.2, shall be for the benefit of the Purchaser, shall be a Retained Asset.

Retained Liabilities

1. All Liabilities in relation to or arising out of the Retained Contracts.
2. All Liabilities arising out of events or circumstances and which become due and owing after the Effective Time, which are not adjusted for pursuant to Article 3 prior to Closing.
3. All Liabilities arising from the possession, ownership or use of the Retained Assets following Closing (including for greater certainty any municipal taxes, property taxes, surface use payments, bonuses, fees, royalties, overriding royalties, land use fees, license fees, easement payments and similar obligations and Liabilities that accrue on or after the Closing Date).
4. All Abandonment and Reclamation Obligations.
5. All Environmental Liabilities.

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Table of Authorities

Tab 1. *Mines and Minerals Act*, RSA 2000, c. M-17

Tab 2. *Crown Minerals Registration Regulation*, AR 264/1997

Tab 3. *Harte Gold Corp. (Re)*, 2022 ONSC 653

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